

BIGGEST EARLY RETIREMENT MISTAKES

• (What professionals often underestimate when planning life after full-time work)



UNDERESTIMATING INFLATION

Personal inflation often runs higher than headline inflation, especially for healthcare, travel, education and lifestyle expenses



IGNORING HEALTHCARE SHOCKS

Medical expenses don't rise gradually; they often arrive unexpectedly and at a high cost



FOCUSING ONLY ON MONTHLY EXPENSES

Retirement plans often overlook irregular but predictable costs such as home repairs, vehicle replacement, education and family obligations



ASSUMING EXPENSES WILL FALL AFTER RETIREMENT

More free time can mean higher spending on travel, hobbies, learning and social activities



OVERLOOKING LONGEVITY AND MARKET RISKS

A long retirement combined with poor market returns early on can significantly erode a corpus



IGNORING CURRENCY DEPRECIATION

Overseas education, foreign travel and globally linked-expenses become dearer as the rupee weakens



TREATING ALL INCOME AS PASSIVE

Rental, consulting and investment income can be volatile

The same lifestyle, he points out, carries very different costs depending on where someone lives. "If we assume a portfolio return of around 8% pre-tax and long-term recurring expense inflation of 6%–7, the corpus required is about 400 times the monthly recurring expenses." So, someone spending ₹1 lakh per month would require approximately ₹4 crore to retire.

However, Vora cautions that retirement planning over a 40–50-year horizon is filled with uncertainty. "Personal inflation can be higher because inflation in services, travel, healthcare, domestic help, education, lifestyle upgrades and discretionary spending has historically been higher."

He also warns against assuming equity markets will always deliver strong returns. If inflation averages closer to 10%, the numbers change dramatically, he says. "400X monthly expenses may not be enough. The required corpus can move closer to 600X monthly expenses or more."

Vora stresses that even these calculations only cover recurring expenses. "Large capital expenditures and family commitments need separate buffers. These include periodic car replacement, home repairs, replacement of computers & phones, children's college education, weddings, major medical expenses, parental healthcare, and large family obligations. Predictable monthly support to parents can be included in monthly expenses, but unpredictable large costs should be separately planned."

"The biggest mistake," he says, "is planning early retirement as if life will remain a neat spreadsheet."

BEYOND THE SPREADSHEET

For Ankit Vengurlekar, a media executive, communication coach, and the Founder of Antar Wellness, stepping away from a conventional career was not a sudden decision but the culmination of years of reflection about what success meant to him. After years in the corporate and start-up ecosystem, aided by practices such as yoga and Vipassana meditation, he began questioning the assumption that professional growth had to come at the cost of time, wellbeing, and personal fulfilment.